UNIT III SERVICE BUSINESS - I

CHAPTER 10

RESERVE BANK OF INDIA

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Learning Objectives

To enable the students to

i. understand the meaning of central bank
ii. gain knowledge about the origin of the Reserve Bank of India
iii. describe the functions of the RBI

10.01 Need for the Study on Service Business

Educational, medical, hospitality and the like service business existed for centuries. Its prominence in the global trade is of recent origin i.e., after 1970. "The services sector has emerged as the most dynamic sector of the world economy, contributing almost one-third of world gross value added, half of world employment, one-fifth of global trade and more than half of the world foreign direct investment flows. It remains the key driver of India's economic growth, contributing almost 66.1 per cent of its gross value added growth in 2015-16" - quotes the Indian Budget Estimate for 2015-16.

10.02 Banking Service

Banking service is the nerve center of industry and commerce in a country. It plays a vital role by providing the money required for their regular functioning and development. The word Bank, normally refers to commercial bank. There are many types of banks rendering different types of services. Central Bank is the most important one among them.

Every nation has one central bank. It is owned by the Government of the country. The control over the entire banking system of a country is vested with this apex bank. Central banks are known by different names in different countries. Their functions also vary from country to country. A Central bank is set up as an autonomous or quasi-autonomous body. Stability and growth of the country's economy are the main goals of a Central bank. In India the Reserve Bank of India (RBI) is the central bank.

10.03 The Historical Development of Banks in India

i. Bank of Hindustan was the first bank in India established in 1770 and was closed in 1932.

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